S&P GLOBAL & CRISIL CAMPUS HACKATHON 2026

IMPACTTRAIL

From narrative noise to portfolio impact

Auditable financial risk signals from news and social text, connected directly to transparent wholesale-portfolio stress testing.

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8 unique documents **9 risk signals** **4 stress runs**

Risk intelligence breaks at the handoff

THE GAP

- News and social posts arrive in incompatible formats and repeat the same event.
- A sentiment label alone does not describe event type, severity, confidence, or exposure.
- Manual handoffs make the path from narrative to portfolio impact slow and hard to audit.

THE IMPACTTRAIL APPROACH

1	**Normalize**	News + social + replay
2	**Understand**	Entity + sentiment + event
3	**Score**	Impact + confidence + evidence
4	**Act**	Automatic, idempotent stress test

Design goal: one traceable path from source evidence to portfolio loss drivers

IMPACTTRAIL

Auditable financial risk intelligence - source to portfolio impact



CONTROL PLANE

data lineage + hashes | model/config versions | confidence gates | structured logs + health | tests + CI + health

ImpactTrail | Educational prototype - not investment advice

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03 - AI/NLP RISK ENGINE

A signal is a contract, not a black-box label

Required outputs are bounded and augmented with confidence, evidence, provenance, and versions.

SENTIMENT

-1.0 to +1.0

P(positive) - P(negative)

EVENT

10-class taxonomy

explicit other / abstention

IMPACT

1.0 to 10.0

severity and urgency

EXPLAINABLE IMPACT FORMULA

Event severity	30%
Entity relevance	15%
Corroboration	15%
Tone | confidence | novelty | source	40%

AUTOMATIC STRESS GATE

- Event confidence >= 0.65
- Impact confidence >= 0.60
- Impact strictly > 7.0
- Compatible scenario + idempotency

High-impact credit signal to explainable portfolio loss

Illustrative valuation across loans, bonds, and derivatives; every position reconciles.

PRE-STRESS VALUE	POST-STRESS VALUE	SCENARIO P&L	PORTFOLIO LOSS
$411.8M	$404.4M	-$7.4M	-1.80%

CREDIT DETERIORATION

Illustrative issuer/sector credit event with spillover.

TRIGGER 8.9/10 | 72 POSITIONS | $0.00 RECONCILIATION

Equity: -16%

Rates: +25 bps

Credit spread: +300 bps

PD multiplier: 2.00x

VALUATION CHANNELS

LOANS	change in EAD x PD x LGD
BONDS	duration + convexity + spread
DERIVATIVES	delta / DV01 / FX sensitivity

ALL POSITION RESULTS RECONCILE TO PORTFOLIO TOTALS

Reproducible evidence, with the limitations attached

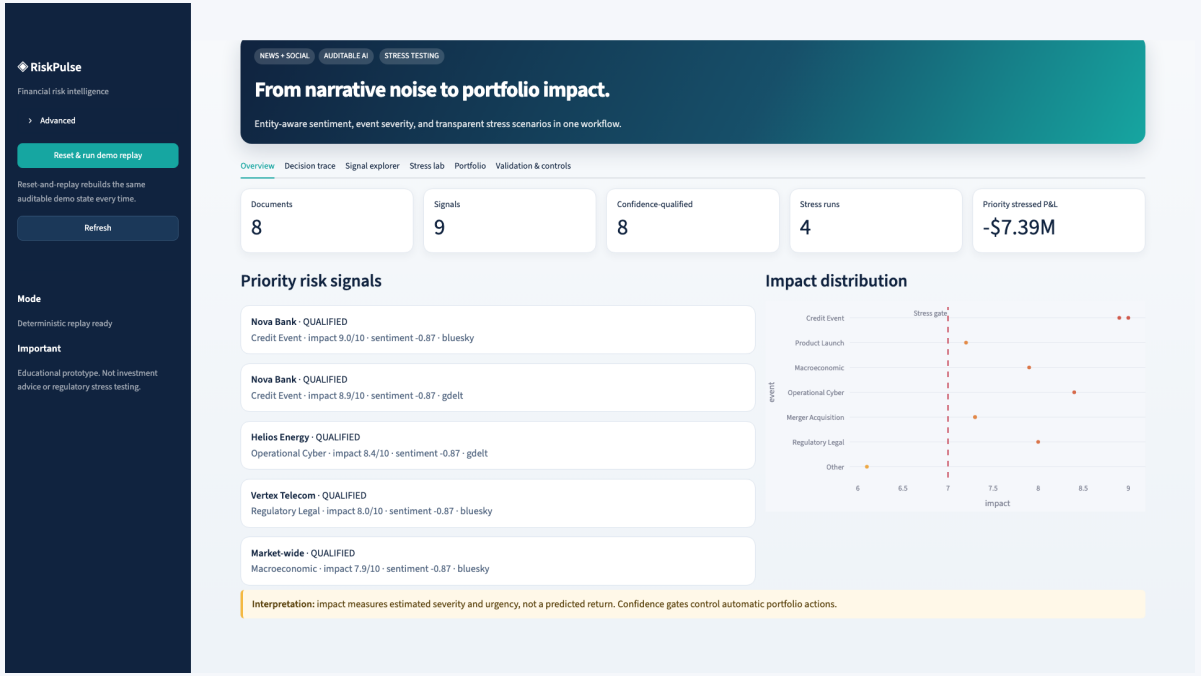
Replay proves the workflow; compact synthetic sets verify contracts, not production generalization.

INPUTS / UNIQUE	EXACT DUPLICATES	STRESS RUNS	REPLAY FAILURES
9 / 8	1	4	0

SYNTHETIC-SET CONTRACT EVIDENCE

BASELINE	N	RESULT
Finance sentiment	15	**100% F1**
Event taxonomy	20	**100% F1**
Impact severity	20	**1.15 MAE**

Synthetic rubric data - not a production accuracy claim



Make every automated risk action challengeable

ANALYST VALUE

- Prioritize narratives by severity and exposed portfolio drivers.

- Replace manual handoffs with one source-to-loss decision trace.

- Apply consistent confidence and scenario policy gates.

- Challenge every score through evidence, factors, and assumptions.

RESPONSIBLE SCALE

- Keep human review; no trading, credit, or regulatory-capital claim.

- Validate on larger independently reviewed, time-split public data.

- Add semantic clustering, calibration, drift, and analyst feedback.

- Promote infrastructure only when measured volume requires it.

ImpactTrail: evidence -> policy -> scenario -> portfolio decision